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Update

SaaS Market Surging

by Jeffrey M. Kaplan, Senior Consultant,
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Customer Concerns Continue to Constrain SaaS Growth

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SaaS Market Proliferation: Buyer's Market or Industry Shakeout?

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SAAS MARKET SURGING

Coping with a Rapidly Changing Marketplace

With organizations of all sizes across every industry sector facing unprecedented business challenges, IT and corporate decision makers are taking a close look at every aspect of their operations and considering new ways to address their day-to-day requirements and achieve their long-term objectives.

For many organizations, both commercial corporations and nonprofit institutions, this means making fundamental changes in the way they do business. Because nearly every organization has become heavily dependent on technology and many organizations have been dissatisfied with the ROI of their IT operations, they are looking for new ways to acquire and administer their IT systems and business applications.

These systems and applications have historically taken far too much time and effort to deploy and maintain without enabling the business innovation or even generating the productivity improvements that organizations expected. Instead, most organizations have found themselves paying more to implement and manage their systems and software than they budgeted, only to find them being used less effectively by their end users than they had anticipated.

A combination of a higher TCO along with the lower ROI has proven to be a disastrous equation for many organizations that are now confronted with escalating fuel costs and tightening credit markets that are placing greater constraints on operating budgets.

These financial challenges are coming at the same time that the competitive landscape is being reshaped by globalization and e-commerce.

Simultaneously, the traditional workplace is a thing of the past. A growing proportion of employees are working from home or on the road. Yet these mobile workers still need to access corporate data and need to collaborate with their peers. This is raising a new set of management and security challenges.

Not only have legacy systems and software proven to be more complex and costly than most organizations would prefer; they were not designed to respond to a rapidly changing marketplace or highly dispersed workforce.

These trends have fueled the growth of software as a service (SaaS) as well as the emergence of cloud computing alternatives to traditional on-premise software and systems.

Defining Terms

SaaS is one of those terms that is defined differently by different people. For the purposes of our survey, Cutter Consortium defined SaaS as:

A software solution that is hosted, supported, and delivered by a provider as a service, and can be accessed by users via the Internet, without the need to deploy and maintain additional on-premise IT infrastructure.

Some might argue that our definition is too broad, especially with today's Net-native SaaS providers that are

trying to clearly differentiate themselves from the established independent (i.e., incumbent) software vendors (ISVs) that are often hosting only their traditional on-premise applications at this stage. The upstart SaaS players would prefer to restrict the definition of SaaS to only those Web-based applications that are built on a multitenant architecture and permit a one-to-many software distribution model.

While multitenancy is a more scalable, flexible, and economical service delivery approach than traditional single-instance software hosting, we have intentionally made our definition more open-ended to allow our survey participants — IT and business decision makers — to respond based on their own perceptions of the software solutions that they believe fall into the SaaS category.

SAAS Survey History

Over the past four years, we have been charting the growth of the SaaS market with a series of yearly customer surveys. Our surveys were the first to find widespread interest and substantial adoption of SaaS in 2005.

In 2006, we began to see businesses of all sizes adopting SaaS solutions specifically designed to meet their vertical market needs as well as their horizontal application requirements.

In 2007, we found customers were beginning to examine the platform capabilities of SaaS vendors as they sought to identify those vendors that could serve as strategic sources for their SaaS requirements.

And in early 2008, we found a growing number of IT professionals adopting SaaS solutions to help them address their day-to-day IT management requirements.

After publishing our groundbreaking annual survey results over each of the past three years, it has been gratifying to see other industry research studies confirm our findings.

This year, our vanguard research has uncovered a new round of important market trends that have implications to IT and business decision makers. We will report these findings and discuss their meaning in a series of *Executive Updates* beginning with this market overview.

SURVEY DEMOGRAPHICS

Cutter Consortium conducted its fourth annual SaaS survey via the Web in September/October 2008. The survey was completed by 113 respondents, representing a broad cross-section of industries worldwide.

Approximately 40% of the respondents are in senior management and policy-making positions.

Two-thirds of the respondents work for organizations headquartered or based in North America. An equal proportion are employed within organizations with annual revenues of less than US \$50 million, and 70% work for organizations with fewer than 500 employees. Approximately 16% work in companies with annual revenues of more than \$1 billion and more than 10,000 employees.

Although the majority of the respondents can be classified as small and medium-sized enterprises, we were unable to identify any significant variance in the survey responses by size of organization.

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SAAS Adoption Nearly Doubles

In our last survey, 32% of the respondents reported they were currently using a SaaS solution.¹ As Figure 1 shows, this year, 63% are currently using SaaS solutions!

Last year, the survey gave us a hint that this jump in adoption might occur. Even before escalating fuel costs and the recent collapse of the credit markets, 80% of our SaaS survey respondents last year who reported they were considering SaaS solutions stated they expected to adopt a SaaS solution by the end of 2008. This year, 85% of those who are considering SaaS expect to adopt a SaaS solution by the end of 2009. *That could take the proportion of survey respondents using SaaS solutions to 75% next year!*

Primary Objectives for Adopting SAAS

While there are plenty of external forces pushing organizations to adopt SaaS, we were also interested in

understanding the primary objectives that the survey respondents are trying to achieve, which have led them to implement or consider SaaS solutions.

We allowed the survey respondents to identify all the reasons that they are adopting or considering SaaS solutions from a list of six common objectives. As Figure 2 shows, eliminating additional infrastructure and staff costs is the primary objective of three-quarters of the survey respondents. This isn't surprising given today's tough economic climate. Two-thirds are seeking to accelerate the software deployment process. This also is in keeping with the challenging business environment that demands a quicker time to value from software spending.

Key SAAS Benefits

As Figure 3 shows, 30% of our survey respondents reported that they succeeded in reducing their

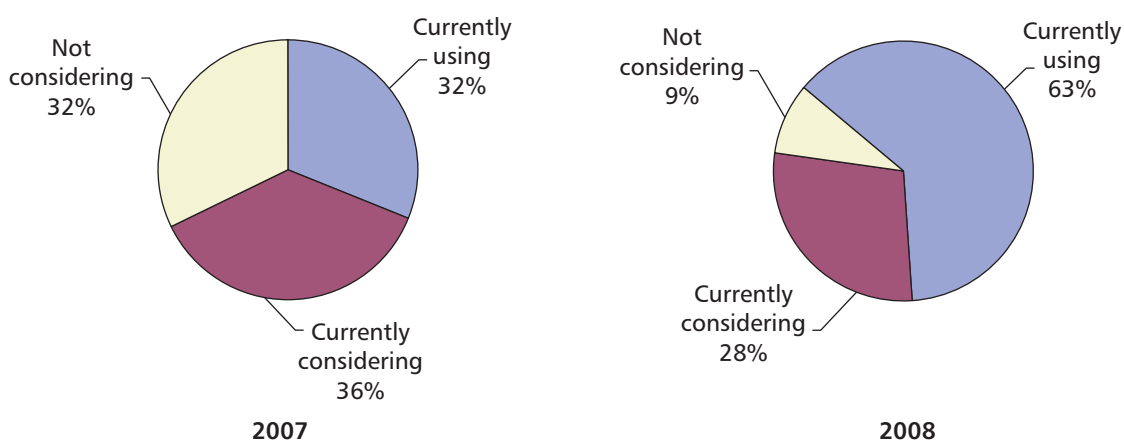


Figure 1 — SaaS adoption has doubled in 12 months.

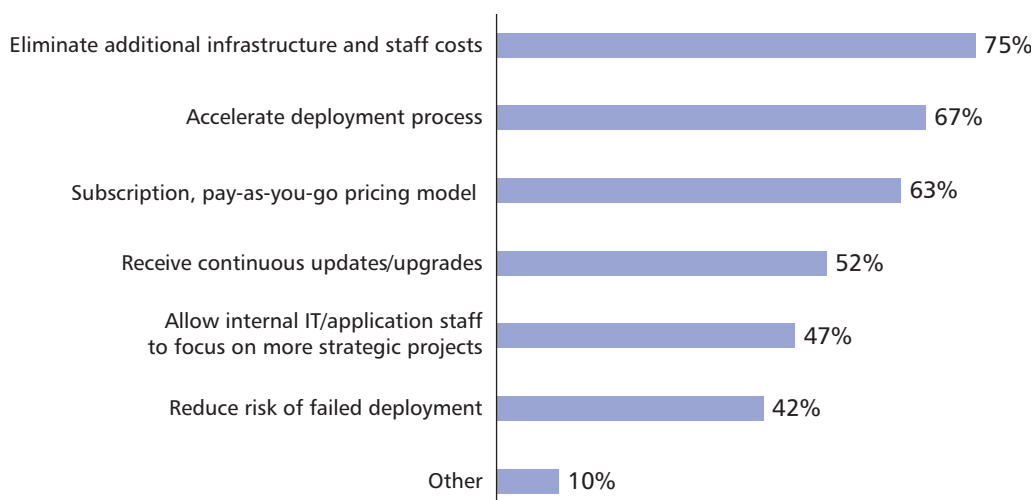


Figure 2 — Primary objectives for adopting SaaS. (Respondents able to select more than one response.)

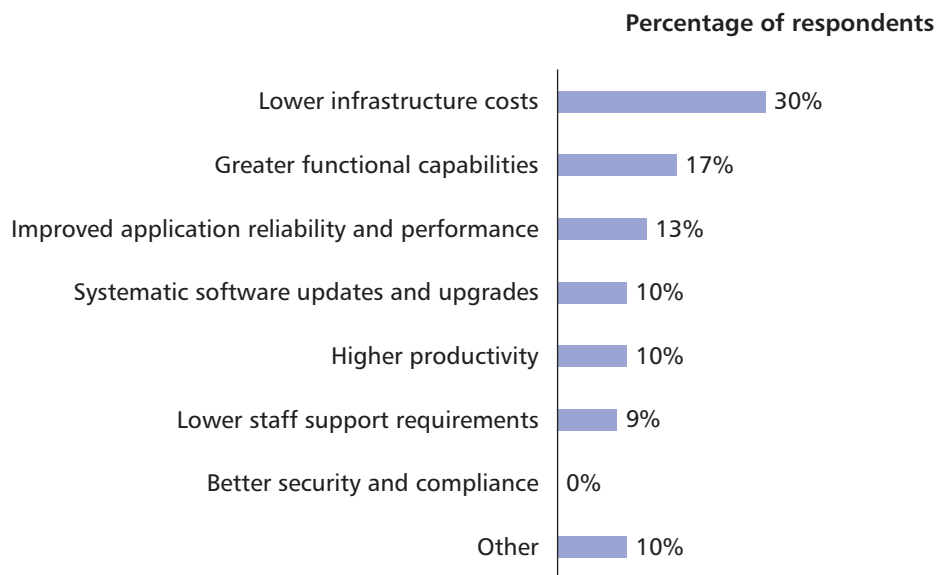


Figure 3 — The greatest benefits of SaaS.

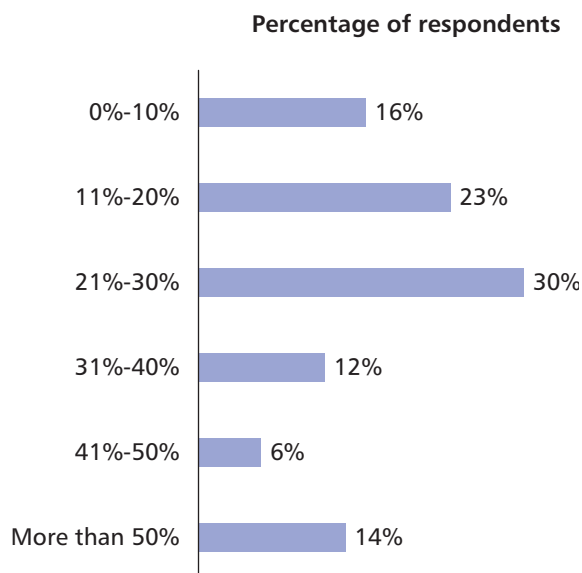


Figure 4 — Expected cost savings from SaaS.

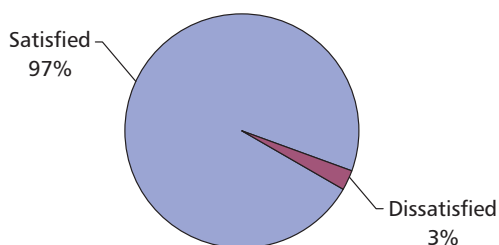


Figure 5 — SaaS satisfaction levels.

infrastructure costs as a result of their SaaS solutions. Another 17% gained greater functional capabilities from their SaaS solutions, while 13% achieved better application reliability and performance. One-fifth reported higher productivity and more systematic software updates and upgrades.

Only a handful of the respondents found that SaaS enabled them to lower their staff support requirements. Instead, SaaS allows organizations to redirect their staff support efforts toward more strategic areas.

More than 50% of the respondents expect to generate 11%-30% cost savings from their SaaS solutions, while nearly one-fifth expect more than 40% savings (see Figure 4).

SAAS Satisfying Customer Needs

Given the tangible benefits that the survey respondents have gained from their SaaS deployments, it is not surprising but still impressive that all but two of those currently using a SaaS solution are satisfied (see Figure 5). This is a satisfaction level that few established on-premise enterprise software vendors can match.

Of the two survey respondents who reported they were dissatisfied with their SaaS experiences, one experienced application performance problems, such as lack of availability or slow response times. The other was dissatisfied with the cost of the SaaS solution compared to other software alternatives.

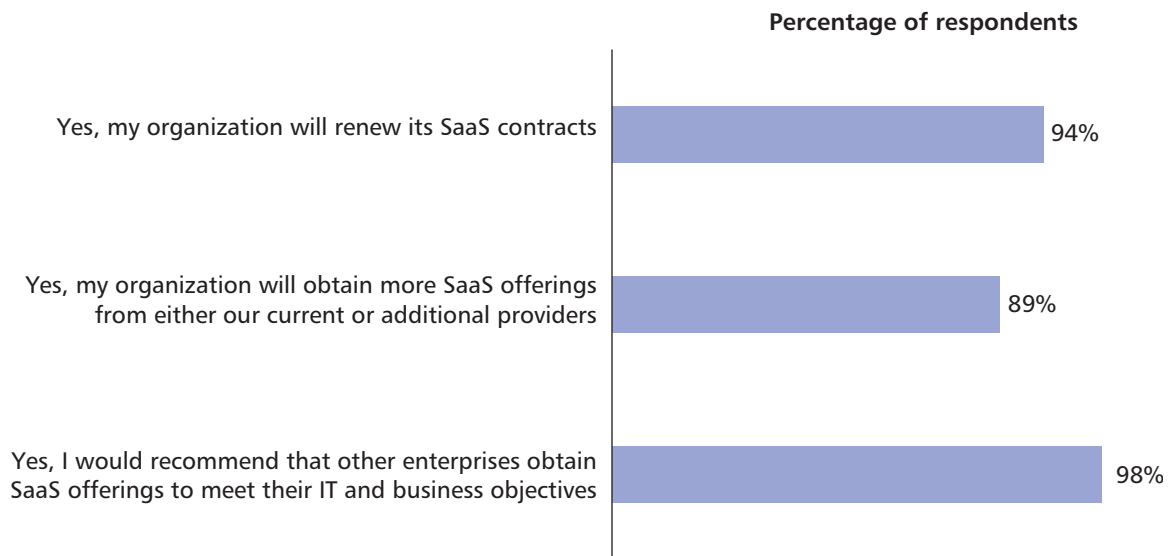


Figure 6 — Customers willing to renew, expand, and recommend SaaS.

Of those survey respondents who are satisfied, almost all of them expect to renew their SaaS contracts, obtain more SaaS offerings, and, most important, recommend SaaS offerings to other enterprises to meet their IT and business objectives (see Figure 6).

Conclusions

The rapid rise in SaaS adoption and interest is being fueled by a combination of macromarket trends, but SaaS market growth is also being validated by the tangible benefits of these solutions that are producing high satisfaction rates among current SaaS users.

In his landmark book *The Loyalty Effect*, Frederick F. Reichheld suggested that the best indicator of a company's ability to retain and grow the value of its customer relationships is if those customers are willing to recommend the company's goods and services to their peers.² Today's SaaS vendors are clearly achieving this standard.

As a result, SaaS is quickly becoming recognized as a viable alternative to traditional on-premise packaged software for organizations of all sizes across every industry. Those organizations that are utilizing SaaS solutions are gaining cost savings, attaining better performance levels, and achieving greater productivity.

In our next *Update* regarding our latest SaaS survey results, we will examine the issues and concerns that are still inhibiting some IT and business decision makers from adopting SaaS.

Endnotes

¹Kaplan, Jeffrey M. "SaaS Movement Accelerating." Cutter Consortium Business Technology Trends & Impacts *Executive Update*, Vol. 8, No. 22, 2007.

²Reichheld, Frederick F. *The Loyalty Effect*. Harvard Business School Press, 2001.

CUSTOMER CONCERNS CONTINUE TO CONSTRAIN SAAS GROWTH

Organizations of all sizes across every industry are facing unprecedented business challenges that are forcing them to rethink how they operate. However, many IT and corporate decision makers are still hesitant to put aside traditional software and systems in order to more effectively perform day-to-day operations and improve their ability to achieve long-term objectives.

Although many organizations have failed to generate the ROI from their enterprise software that they anticipated, they are unwilling to try new ways of acquiring and administering their business applications. In many cases, these applications have taken more time and effort to implement and manage than they expected. In other cases, they have found that the software has been underutilized and hasn't produced the productivity improvements or business innovation they planned.

Despite the lower ROI and higher TCO, there are still IT and business decision makers unwilling to consider alternative solutions and strategies.

This reluctance is creating severe problems for many organizations that are now facing greater competition due to globalization and e-commerce, escalating fuel and operating costs, and tightening credit markets and operating budgets. It is also creating frustrations for employees who are increasingly working remotely and having difficulty accessing or sharing centralized data. The dispersed workforce is redefining the workplace. And a new generation of millennium workers brought up on the Web and living in an on-demand world is

even less patient with the complexities and cumbersome nature of legacy applications.

This is the second in a series of *Executive Updates* based on Cutter's most recent SaaS survey.¹ This *Update* examines why some IT and corporate decision makers are still unwilling to consider or adopt software as a service (SaaS) despite these trends.

The Primary Reasons Organizations Are Not Considering SAAS

In Part I, we found that SaaS adoption had jumped from 32% of the respondents surveyed in 2007 to 63% this year. We also found that the percentage of survey participants not considering SaaS has dropped from 32% to 9%. What's holding this 9% back?

As Figure 1 shows, the most common reason that the subset of survey respondents not considering SaaS are holding back is they are not clear about the cost advantages of this new software-delivery model.

Although only a small percentage of our survey respondents fall into this category, it is important to note that they have not been convinced of the philosophical advantages of a pay-as-you-go subscription model, which eliminates many of the up-front and ongoing costs of software, system, and staff.

Some of these doubts stem from a lack of understanding and an unwillingness to try some of today's SaaS solutions. Some of the resistance is based on the previous generation of failed ASPs.

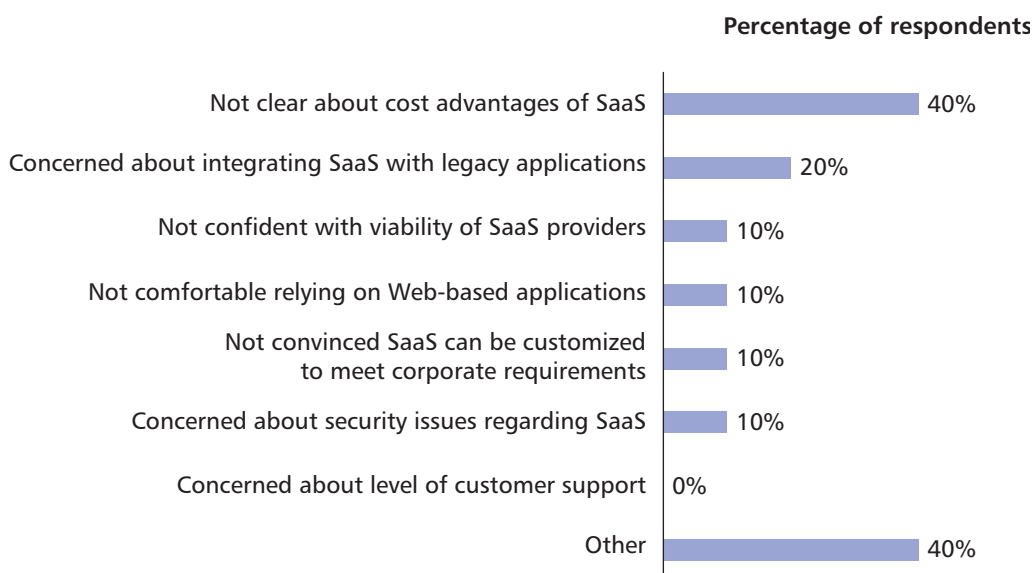


Figure 1 — Why organizations are not considering SaaS.

The ASP concept emerged during the dot-com era. At that time, hosting companies basically were simply reselling legacy applications and assuming the responsibility for housing the applications on their centralized servers. Customers were not attracted to the ASP model because it still required them to pay the up-front cost of the perpetual software license, cope with the same inflexible applications, and rely on untested service providers. Compounding these shortcomings was the lack of broadband networking and cumbersome software code that slowed application response times and reduced service reliability. When the dot-com era collapsed, many of the ASPs failed because they couldn't capture enough customers to offset the capital costs of building out their hosting facilities.

Today's Net-native and Web-enabled SaaS applications are built on more economical software development elements and scalable service-delivery capabilities. The technology building blocks include open source operating systems, open standards Web service tools, such as AJAX and XML, and service provisioning systems. The availability of low-cost application development skills in areas such as India, China, and Eastern European countries has also accelerated the growth of SaaS. These resources have dramatically reduced development costs. Agile development techniques have also enabled SaaS vendors to continually enhance their applications to respond to changing customer needs. Multitenant server architecture and more pervasive broadband networks have vastly improved the service-delivery capabilities and performance levels of rich Internet applications.

SaaS applications have also been designed to leverage the functionality of the Web to provide new features and business benefits. The anywhere/anytime access of the Web-based applications permit greater multiuser coordination and collaboration within organizations as well as with customers and partners. SaaS activity-reporting mechanisms provide an audit trail, and the data redundancy capabilities of the SaaS vendors provide a backup and disaster recovery capability that can satisfy escalating compliance and risk management requirements.

Despite these advancements, many IT/business decision makers resisting SaaS are not convinced. Many are still concerned about the ability to integrate SaaS solutions with legacy applications. As Figure 1 shows, some of the survey respondents are concerned about the ability to customize SaaS solutions or becoming more vulnerable to security threats. Others are concerned that today's turbulent economic environment could create another

shakeout like that which decimated the ASP industry. They don't want to be dependent on a SaaS vendor that could disappear.

Overcoming Common Objections to SAAS

These concerns are understandable, but today's business realities make imperative that IT and business decision makers put them aside to more objectively evaluate the realities of SaaS. SaaS *has* become more viable.

High-speed networks permit rich-featured, highly responsive SaaS solutions to perform in a real-time fashion nearly anywhere at anytime. This ubiquitous access exceeds the availability of most legacy applications that depend on highly centralized data centers and servers hidden behind a firewall and accessible only via a VPN.

The ubiquity of the Web may not guarantee universal availability because there is always the threat of a disruption. However, a growing number of companies are recognizing that these risks are still relatively small compared with the ongoing challenges inhouse IT staffs face keeping their operations up and running, as well as optimizing the performance of their legacy applications.

Many companies are also recognizing that SaaS vendors may be better equipped to secure their on-demand applications than inhouse IT organizations that struggle to safeguard their corporate data. The most infamous security infractions continue to be found within traditional enterprise application environments, or as the result of lost or stolen laptops. The hosting of critical data in centralized and password-secured SaaS-hosting facilities has proven to be an effective countermeasure to the security vulnerabilities of the past. Today's leading SaaS vendors have passed rigorous security testing and certifications procedures, and their solutions include activity tracking and log capabilities that can identify illicit behavior and user violations.

In the past, the offsite hosting of SaaS solutions and related corporate data was also seen as a shortcoming in terms of meeting escalating compliance requirements. Today, a growing number of companies view this aspect of the SaaS delivery model as a solution to their data archival, disaster recovery, and business continuity needs. The activity tracking and log capabilities also satisfy corporate audit and discovery requirements.

The SaaS model has also been built on the supposition that on-demand software can satisfy a majority of customers' most common business requirements. While

this approach may limit the freedom and flexibility for each software user to customize the SaaS solution to meet their specific needs, it also enables them to immediately obtain the latest updates and upgrades without the costs and complexities of the past.

In addition, enlightened CIOs are viewing these limitations as a welcome constraint against individual business unit demands for unrealistic and unproductive customization efforts of the past. Most industry studies have found that software customization projects have generally been unsuccessful, often taking longer and costing more than expected while producing far less functionality than hoped. Instead, SaaS permits them to more easily leverage the latest innovations driven by the “wisdom of the crowd” of SaaS users.

A growing number of SaaS vendors are also offering a wider array of reconfiguration, or “metacustomization” capabilities, which permit users to modify the “look and feel” of their on-demand applications to cater to their specific needs. Some companies, such as Salesforce.com, are even permitting users to manipulate their software code and build their own applications on their platforms.

With concerns about reliability, security, and customization fading, today’s greatest concerns center on software and data integration. These concerns are rising because there has been a proliferation of SaaS offerings aimed at addressing nearly every functional and industry need.

Many companies want their SaaS solutions to link to their existing legacy applications or to other SaaS solutions so they can fully leverage corporate data and even create new software capabilities. In response, many SaaS vendors are leveraging Web services or offering APIs that enable third parties to link to their applications. Web services and APIs permit SaaS vendors to link their on-demand applications together. There are also a growing number of integration tools and consulting companies targeting the SaaS market.

Leading SaaS vendors are also creating partner “ecosystems” that encourage tighter integration between multiple on-demand applications. The most prominent of these ecosystems is Salesforce.com’s AppExchange. While these ecosystems don’t eliminate every integration need, they significantly reduce them and enable customers to gain greater utilization more quickly from their business applications.

Customers have also expressed concern about the hidden costs of SaaS. They’ve feared that they will pay more than originally intended for their SaaS solutions as their usage levels rise or subscription prices go up. In reality, the cost of today’s SaaS offerings is far easier to control than traditional on-premise software. Unlike the uncertain costs of deploying and managing legacy applications, the fees for using SaaS solutions are clearly stated. The SaaS pay-as-you-go subscription pricing model permits companies to calibrate their fees in response to actual utilization levels. They are also in a better position to terminate or downgrade their use of a SaaS solution if they aren’t satisfied or have less need for the on-demand application.

Given the short-term subscription commitments of customers, there are very low barriers to customer defection if a SaaS solution isn’t meeting their needs. Therefore, successful SaaS vendors must continually enhance their solutions, carefully control their fee structures, and deliver quality support to their customers.

For these reasons, a growing number of organizations of all sizes are discovering the virtues of SaaS. The model shifts the burden for deploying and maintaining applications from the customer to the vendor. It removes many of the risks and costs associated with legacy applications. It is better suited to meet the needs of a rapidly changing workplace in which enterprise applications have to be accessed by increasingly dispersed employees and operated in a more economical fashion.

The most convincing evidence that SaaS deserves serious consideration is Cutter’s most recent survey results. Nearly all of the respondents to Cutter’s survey currently using SaaS solutions are satisfied with the benefits they’ve derived (97%), intend to renew and expand their use of SaaS (94%), and would recommend SaaS solutions to their peers (98%). This is an endorsement that few traditional software packages can match.

Endnote

¹For more information about survey demographics as well as the definition of SaaS for the purpose of our survey, refer to Part I: Kaplan, Jeffrey M. “SaaS Market Surging.” Cutter Consortium Business Technology Trends & Impacts *Executive Update*, Vol. 9, No. 19, 2008.

SAAS MARKET PROLIFERATION: BUYER'S MARKET OR INDUSTRY SHAKEOUT?

The rapid growth of the software as a service (SaaS) market, along with the closely related cloud computing industry, is attracting a proliferation of players that is creating a buyer's market for customers and raising concerns about an inevitable industry shakeout.

Cutter's fourth annual SaaS survey found an enormous surge in customer adoption of SaaS solutions over our 2007 findings.¹ Organizations of all sizes are being attracted to Web-based, on-demand SaaS solutions because of their rapid deployment, ease of use, limited maintenance requirements, and relatively low cost. More importantly, organizations are overwhelmingly satisfied with their SaaS solutions because they are generating tangible business benefits in a reliable and economical fashion. The high customer satisfaction levels have led to equally significant referral rates that have helped to accelerate the growth of the market.

As a result, an assortment of software and hardware vendors, along with a variety of communications, business, and information services companies, are now entering the market. This *Executive Update* examines the rapidly evolving SaaS competitive landscape and discusses the long-term implications of these trends. This is the third in a series of *Updates* based on Cutter's most recent SaaS survey.²

The Rapidly Changing SAAS Competitive Landscape

Driving the SaaS market is a new generation of companies that have designed their software solutions to be delivered via the Web as subscription services rather than traditional packaged applications.

This new breed of software company has been led by Salesforce.com, which is the 800-pound gorilla in the SaaS market. The company has successfully extended its reach beyond the capabilities of its core customer relationship management (CRM) and sales force automation (SFA) applications by creating the SaaS industry's largest partner ecosystem, called the AppExchange, and by launching a new development platform called Force.com. As a result of these initiatives, along with its aggressive sales tactics, the company is expected to reach US \$1 billion in sales this year.

Salesforce.com's success has significantly disrupted the traditional software industry. The most obvious example of its impact was Oracle's acquisition of Salesforce.com's chief competitor, Siebel Systems, in 2005. The rapid growth of Salesforce.com has also

encouraged the emergence of a myriad of other SaaS companies targeting nearly every segment of the traditional software market, from collaboration and productivity to enterprise resource planning (ERP) and supply chain management (SCM) applications.

As a consequence, every major software vendor is now contending with a growing number of SaaS alternatives that are threatening to usurp their position in the market. Microsoft is watching its monopoly position in the office productivity market being tested by Google Apps and OpenOffice. SAP is watching its customers migrate to on-demand software from Intacct, NetSuite, and Workday, as well as Salesforce.com.

The success of the SaaS market has also opened the door to a broader assortment of cloud computing services. While the SaaS solutions primarily focused on business applications, the new round of cloud computing services target various software development and delivery requirements, such as storage and design tools. The most prominent player in the cloud computing market has become Amazon.com, which is leveraging its vast data center operations to offer storage and development services at cut-rate prices.

Amazon's success and Salesforce.com's desire to resell its development and delivery capabilities have sparked a new round of competition among platform as a service (PaaS) providers.³

Telecommunications carriers and traditional hosting companies are also seeking a share of this PaaS market by offering the service delivery infrastructure to support SaaS and cloud computing services.

As one indication of the proliferation of players entering the market, THINKstrategies' online directory of SaaS solutions now has more than 950 companies listed in 80 horizontal, vertical, and enabling technology categories.⁴ Keep in mind, this may represent only a fraction of all the companies offering SaaS solutions today.

The threat these new players represent to established ones can be clearly seen in the results of our latest SaaS survey. As Figure 1 shows, 71% of survey respondents prefer to acquire their SaaS solutions from the new generation of insurgent software vendors, such as Salesforce.com and RightNow.

Operational and Organizational Challenges Facing Existing Vendors and Channel Partners

While nearly every independent software vendor (ISV) is attempting to add a SaaS option to its product portfolios, all are learning that it is not an easy task.

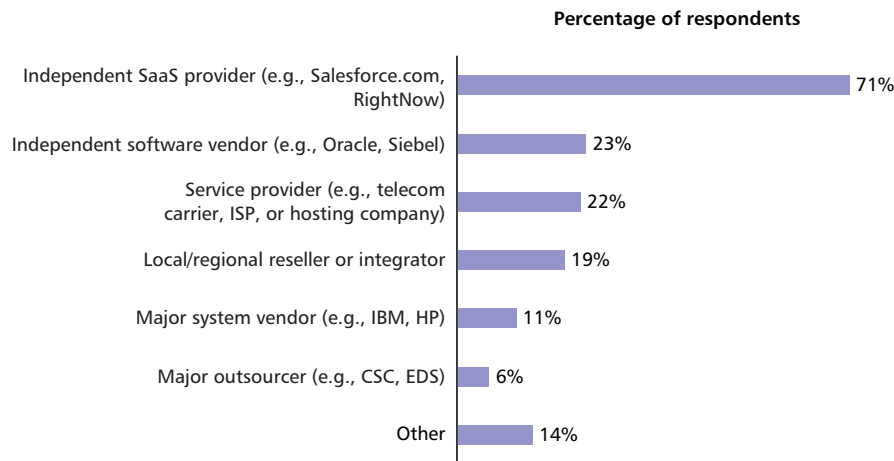


Figure 1 — Customers' SaaS supplier preferences.

SaaS entails an entirely different development, delivery, packaging, and pricing of software, as well as different processes for sales, support, and revenue recognition. Established ISVs are also concerned that SaaS could create internal competition and channel conflicts that could cannibalize their existing customer base.

While these operational challenges can be overcome, the established ISVs are discovering that it also requires a fundamental cultural change across their organizations to shift from being product-centric to services-driven. Rather than simply react to customer problems, as they've done in the past, software vendors are now responsible for proactively managing their SaaS solutions to ensure their uptime and availability.

Traditional software resellers and integrators are also feeling pressure from the SaaS movement. These companies have historically relied on the complexities of traditional software for their livelihoods. They helped customers assess their needs, evaluate their alternatives, customize their solutions, integrate their systems, and maintain their applications. SaaS eliminates much of this complexity and many of these responsibilities. Therefore, many traditional resellers and integrators are trying to determine the role they will play as customers migrate to SaaS alternatives.

Outsourcers Forced To Restructure Their Services

SaaS and cloud computing also affect traditional IT and business process outsourcers (ITOs/BPOs). Just like traditional resellers and integrators, the ITO and BPO companies have historically depended on software complexity for the bulk of their revenues. They promised to manage customers' IT operations more economically and effectively but often created their own layer

of problems by imposing strict rules and steep fees for any changes to customers' operating environments. This made it difficult for companies to react to changing market requirements.

SaaS and cloud computing undercuts the need for customers to outsource their entire IT operation to a third party. Instead, they can out-task specific software requirements to specialists. They can also take advantage of more flexible, pay-as-you-go, subscription pricing rather than enter into long-term outsourcing agreements.

These on-demand service alternatives are especially threatening in today's turbulent economic environment. Not only are customers seeking more cost-effective alternatives to traditional outsourcing, outsourcers must also dramatically downsize their labor-intensive operations in order to cope with the escalating credit crisis.

Like traditional software vendors, outsourcers are having a difficult time restructuring their operations to deliver cost-effective SaaS or cloud computing services.

Blurring the Line of Demarcation Between Software, Business, and Information Services

Startups and traditional vendors are not the only combatants in the rapidly evolving SaaS and cloud computing market. Just as Amazon has demonstrated that outsiders can also penetrate and transform the on-demand services industry, so are a variety of business and information services companies that are looking for new market opportunities.

ADP is a prime example of a company that blurs the line between software and business services. The company's payroll services are software-enabled, but it

prefers to call itself a business service company rather than a software company. Still, ADP has acquired a handful of SaaS companies and is partnering with others to expand its portfolio to encompass a broader set of human resources/capital management requirements.

Thomson Financial is an example of an information services company that recognizes the opportunity to broaden its capabilities via the SaaS market. For instance, Thomson Financial is partnering with Salesforce.com to deliver its market data to salespeople so it can improve its sales effectiveness.

Buyer's Market or Industry Shakeout?

There is no question that the proliferation of players in the SaaS and cloud computing market has created a buyer's market for customers seeking on-demand service alternatives to traditional software products. However, no market can sustain the number of players currently entering the SaaS and cloud computing arena, and today's severe economic environment is going to accelerate a potential shakeout of many suppliers.

Therefore, it is important for IT and business decision makers to carefully evaluate the financial viability of the SaaS and cloud computing companies they are considering, along with their functional capabilities.

Given that an increasing number of organizations are relying on SaaS and cloud computing companies for various applications, they cannot afford to have any of these suppliers fail and disrupt their business operations.

Because the SaaS and cloud computing companies depend on subscription revenues rather than perpetual license fees, evaluating their financial viability requires a thorough understanding of their long-term cash flows rather than their short-term profit margins.

It also means that IT and business decision makers shouldn't mistake the failure of peripheral players in the SaaS and cloud computing market with the viability of the overall on-demand services industry.

Unlike the dot-com bust, which was driven by overhyped ideas looking for customer needs, the SaaS and

cloud computing market has been fueled by genuine customer demand for solutions that have proven to satisfy their very real requirements.

Endnotes

¹Kaplan, Jeffrey M. "SaaS Market Surging." Cutter Consortium Business Technology Trends & Impacts *Executive Update*, Vol. 9, No. 19, 2008.

²For more information about survey demographics as well as the definition of SaaS for the purpose of our survey, refer to Part I: Kaplan, Jeffrey M. "SaaS Market Surging." Cutter Consortium Business Technology Trends & Impacts *Executive Update*, Vol. 9, No. 19, 2008. See also, Part II: Kaplan, Jeffrey M. "Customer Concerns Continue to Constrain SaaS Growth." Cutter Consortium Business Technology Trends & Impacts *Executive Update*, Vol. 9, No. 20, 2008.

³Kaplan, Jeffrey M. "SaaS Market Shifting from Point Solutions to Platform Strategies." Cutter Consortium Business Technology Trends & Impacts *Executive Update*, Vol. 8, No. 24, 2007.

⁴For a list, see the SaaS Showplace at www.saas-showplace.com.

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